

Changing Art: SoHo, Chelsea and the Dynamic Geography of Galleries in New York City

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Abstract

We examine New York's SoHo and Chelsea districts for evidence of how art and place interact over time. More specifically, we trace the decline of New York's SoHo as a gallery district and the concomitant rise of nearby Chelsea, concluding that such a transition cannot simply be explained, as it usually is, by rises in property rents that 'force out' the art. Of equal significance, and following a different trajectory, is the change in art prices — particularly for the kind of art with which these places have been in reciprocal relation. A final factor in determining neighborhood fates is how difficult or easy it is to reassemble social scenes from one place to another. We show how artifact specifics, including their shape, form and aesthetic appeal, conjoin with property markets and scene sociality to affect urban morphology.

Introduction and background

In diverse traditions of analyzing capitalist land-use change, ups and downs in property rent make up the crucial component. Always implicit in human ecology and related schools of urban economics and geography, property markets are the mechanism through which urban districts rise and fall. While not the only forces said to be at work, they become proxy for others that are. Certainly, among economic factors they are considered central. Neo-Marxists and critical scholars, as well as more conventional analysts, use property price to explain, at least as an intermediary factor, land-use change.

Perhaps nowhere has this line of thinking been more prevalent than in analyses of the phenomenon loosely termed 'gentrification'. However abetted by exogenous political or cultural shifts, change in rent (or the closely related index of property sales price) is the primary mechanism used to explain transition. A higher-paying tenant replaces a lower-paying one (see, e.g., Cole, 1987; Smith, 1996). Yet, for us, even limiting the discussion to economic factors and contrary to so much scholarship on the subject, rent is not the only relevant force at work. At least such is the case for the kind of neighborhood at the center of this article, the art gallery district, and the kind of shift we study — the move of New York galleries out of SoHo and into Chelsea. Conjoint with the price of space, we reason, outcomes follow from the value of what is being sold in that space. Displacement is a function of particular combinations of rent price and profit potential in the product being sold. As price of the product goes up (and hence, *pari passu*, its potential profitability), the capacity to pay higher rent also rises. So in a dynamic like commercial

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displacement (as opposed to residential gentrification), it is not just a matter of actors in one sector being displaced by actors in another, but changes in the economic value of the sectors themselves that become relevant. The ability of galleries to remain in place thus does not just follow from competing types of businesses and land users trying to come in, but from revenue that art selling can yield. When attention is paid, as we do here, not just to rising levels of rent but also to changes in the value of the product, different scenarios open. These economic factors then also interact with certain social phenomena, especially associated with the so-called 'creative' industries,¹ to affect urban outcomes further.

Important issues are at stake. Local art worlds are no longer thought of as curious bohemias to be (at best) tolerated for their idiosyncrasies or addition of local color, but as intrinsic to the life of the city, including its economic vitality. Establishments of the art scene generate agglomeration benefits — 'untraded interdependencies' as Storper (1997) calls them (see also Markusen, 1996; Jacobs, 2000; Scott, 2000; Wu, 2005). Artistic presence, involving not only the artists themselves but also the establishments that service their needs and sensibilities, encourage — these analysts say — creativity full force (see also Clark, 2003). This is especially relevant if there are specific venues through which artistic currents can connect to other sectors in ways that amplify the arts impact. This happens, in part, through so-called 'Third Place' (Oldenburg, 1999; see also Lloyd, 2005) establishments that facilitate a quasi-serendipitous meeting across occupational spheres — a *scene* in which people from different sectors network, exchange knowledge and start deals (Currid, 2007; see also Saxenian, 1994; Pratt, 2002; Indergaard, 2004). They serve, however informally, what Centner (2008: 215) terms 'the imperative of physically rooted networking', an aspect of the 'social economy' more generally (Amin, 1999: 374). Through place, artists might come to design clothing or become involved with furniture production, commercial entertainment or aerospace (Molotch, 1996; 2003; Scott, 2006). Their presence, or at least the accoutrements of galleries and coffee houses that they bring in, attracts intermediaries who do translate the cultural edge into entrepreneurial initiatives. Galleries, as places of intense hob-knobbing (Currid, 2007) thus matter. Using it almost as a technical term, authors like Storper and Venables (2004: 351) and Caves (2000: 173) designate the 'buzz' that results as a fundamental economic resource.

In terms of the art market itself — the transactions and opinion-making at the heart of art gallery district commercial viability — face-to-face contacts are especially important, as they are in all economic situations marked by imperfect, changeable or difficult-to-codify information (Caves, 2000; 2003; Storper and Venables, 2004). Co-presence helps socialize people into the art world, communicating criteria of judgment and notions of expected returns, financial or otherwise (see Velthuis, 2003). Proximity helps establish relationships of trust between buyers and sellers as to the authenticity of a work and the legitimacy of the artist behind it. While spatial proximity may not be everything,² it builds tacit knowledge and reinforces the mutually understood institutional environment that is both local and extra-local (see Becker, 1984; Gertler, 2003).

Directly consequential for the real estate industry in the affected area, arts districts can also have a 'demonstration effect' as urban governments, developers and architects try to transfer at least the surface features of the arts districts to other locales (Simpson, 1981;

1 The 'creative' adjective arises in the titles from Caves (2000) and Florida (2003). We use it as stand-in for the variety of terms that call attention to a shift from traditional factors of production toward phenomena such as 'learning economy' (Storper, 1997), 'symbolic economy' (Zukin, 1995), 'cultural economy' (du Guy and Pryke, 2002) and 'aesthetic economy' (Entwistle, 2002).

2 Bathelt *et al.* (2004) argue for the importance of 'pipelines' that connect local clusters to outside sources of knowledge and resources. Gertler (2003: 91) stresses the significance of *institutional* proximity or 'the shared norms, conventions, values, expectations and routines arising from commonly experienced frameworks of institutions'.

Zukin, 1982).³ Plausibly enough, the creation and sustenance of arts districts has thus become a focus of both policy and analytic efforts, at the local and regional level in the US and Europe, reaching up to national agents, as well as the European Union. Actors at various scales foster arts enclaves as spurs to social and economic 'revitalization' (Evans, 2003; Mommaas, 2004; Cameron and Coaffee, 2005; Hesmondhalgh and Pratt, 2005).

When located in proximity to one another, galleries, in particular, generate continuous flows of individuals and small groups from one spot to the next. Other aspects of 'culture', such as music and dance production, also bring people together in particular places, but tend to affect sidewalks and streets only before and after performances. As an urbanistic feature, galleries can enact a district through pedestrian choreography. Whatever controversies exist⁴ about the range of venues and occupations appropriate to consider as part of the now valorized creative sector (or their actual social worth), art galleries fit conspicuously within.

For critical observers, the entire process is, of course, suspect (Smith, 1996; Peck, 2005). Profiteers displace poor people or extinguish valuable cultural and iconographic elements of the city (for critical overviews of the wider gentrification literature, see Slater, 2006; 2008). In 'aestheticizing' a neighborhood, artists make it ripe for gentrification by other populations who turn cultural into economic capital (Ley, 2003, using Bourdieu; Bain 2006; Centner, 2008). Some commentators seem sympathetic to the first moves (artists coming in) but not the next of commercial galleries 'taking over' (Simpson, 1981; Kostelanetz, 2003). Least sympathy, even among some who strongly support commercial development, is for conventional residential and business uses that replace art-based ones (Zukin, 2004; Cameron and Coaffee, 2005). Development consultants may worry that the art goose that lays the golden egg will perish.

Our study largely leaves aside the well-tended issues of the social costs of displacement or the motivations of those seeking to manipulate land-use public policy for personal gain. For one thing, neither of our neighborhoods had residential populations at the point of initial transition out of industrial use. Nor were they — unlike some other such transitioning zones (see Curran, 2007) — places offering jobs in any significant numbers. We thus focus on a particular land-use shift, where such displacement issues are likely to be less relevant. Our delimited topic is replacement of galleries by types of uses not directly related to art *per se*. What we want to know is whether the galleries can withstand the 'pressure' of non-art uses and, in so learning, how at least one version of change and stability operates in the contemporary urban context. More particularly at stake is the question of whether, at least in a high-cost city like New York, there can be any durable gallery district at all.

Research strategy and data sources

We approach the viability of gallery districts through the dual lens of rent price and art price in order to understand the shift of galleries out of SoHo and into Chelsea. Our neighborhood cases are the two most famous districts in the United States for the sale of contemporary art. Each has played a key role in the New York art world — the world's top arts location in terms of dollar volume of works sold and also likely having the largest number of galleries of any city in the world.⁵ Since the end of the second world war, it has been the epicenter of artistic production as well as consumption (see Guilbaut, 1985 for historical background).

- 3 Although its huge high-rise projects bear little resemblance to the New York original, one of the biggest real estate companies in China named itself 'SOHO China', raising as much money on its initial stock offering as did Google when it went public (US \$1.7 billion) (Barboza, 2007: C7).
- 4 Critics take issue, for example, with the conflation of hair cutters and service workers with highly paid and privileged workers such as software designers (Florida, 2003; Peck, 2005).
- 5 As one indicator, 46% of all US art auction volume occurs within Manhattan (Artprice, 2007).

Our first step was to determine locations of galleries across all boroughs to discover possible concentrations. Our data for this purpose came from listings in the *Art in America Annual Guide to Galleries, Museums, Artists*. This is the comprehensive bible of the gallery world; listing is a free service of the magazine (see Wallach, 1996).⁶ Because each gallery listing contains its address,⁷ we could also generate time-series data for gallery numbers across our neighborhoods to document dates of shift in concentration.

To help determine the *reasons* for the shift, we constructed, for both areas, changes in what we term 'affordability ratios' — the price of art divided by per square foot rental cost. This allows affordability comparisons between SoHo and Chelsea over time. Our indicator of art price comes from auction sales by the two giants of the New York scene, Sotheby's and Christie's. These sales do not reflect the art market in any particular neighborhood, but the market overall — and many buyers are not even New York based. Our use of this data as proxy for New York contemporary art price stems from the widely shared observation that artworks form a continuous market (Kim, 2007), with public auctions central to determining value across venues (Ashenfelter and Graddy, 2003). Since we were only interested in contemporary art, which overwhelmingly dominates in both our neighborhoods (Scanlon, 2005: 45), we restricted our data set to art works created within the 5 years prior to the auction (auction listings indicate year of creation). We report data by both average prices of art works as well as median values because differences between the two statistics can occur. When a super-collection comes on the market, average prices increase more than medians.⁸ Because a gallery's profit is based on a percentage of aggregate sale prices, we think average is a better indicator of rent affordability than median, so we rely on average more than median in our explanatory narrative (but report both).

More complicated, but necessary to accomplish, was an indicator of rents. Rents are a non-trivial part of the art business. Among the smaller New York galleries (which make up about half of the city's total), 38% of operating revenue is used for rent.⁹ Large galleries (annual sales above \$500,000) spend 22% of revenue on rent, a lesser but still sizeable proportion. To obtain the rent costs, we had to use different data sources for the two neighborhoods owing to differences in data availability for the two areas. SoHo data come from reports on retail and office lease prices, which correspond to the spaces potentially usable as galleries.¹⁰ Our 1990 and 1995 retail numbers come from deals and offerings as provided by brokers or property managers, reported in *The New York Times* and *Crain's New York Business*. Retail-use rent figures for 2000, 2005 and 2007 come from annual reports of the Real Estate Board of New York (REBNY), the city's real estate trade association (no data from this source were available for the prior time points). Our SoHo office rent figures for all years come from reports issued by Cushman and Wakefield, a large commercial real estate company that regularly issues rental lease numbers by neighborhood. The location of properties that Cushman and Wakefield uses for their figures conform closely to our definition of SoHo: the area South of Houston

6 We built neighborhood aggregates on zip codes most closely corresponding to neighborhood boundaries. Zip codes 10001 and 10011 make up Chelsea, while 10012 and 10013 make up SoHo; zip code 10014 corresponds to the West Village. The SoHo 10012 and 10013 zip codes include a grouping of galleries at the North end of adjoining TriBeCa (the 'Triangle Below Canal' Street). Our SoHo numbers thus include 20 TriBeCa galleries for 1990, 25 for 2005 and 14 for 2007 (Art in America, 1990; 2005; 2007).

7 In instances when the address was not listed or was listed as a P.O. box, we omitted the gallery from our tallies. In 2007, out of 934 listed galleries in New York City, 27 had P.O. boxes and 18 had no given address.

8 The auction data indicate that the number of art pieces sold by these houses did not appreciably change over the time period of our study, even as the aggregate sales figures rose or fell.

9 The survey was conducted by the Art Dealers Association of America of its own members, augmented by on-line follow-up of commercial galleries listed in guides and association membership lists (see Scanlon, 2005: 45).

10 Residential is thus excluded.

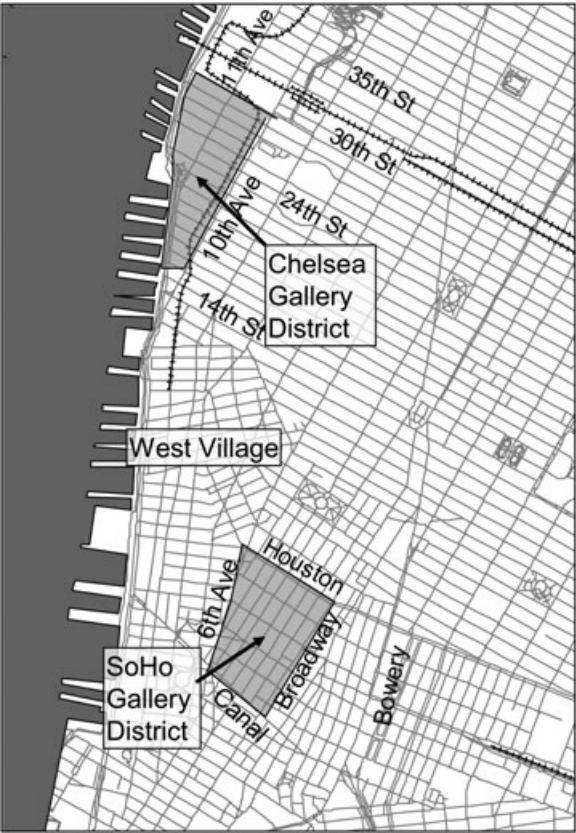


Figure 1 Chelsea, West Village and SoHo locations (source: map created by Mark Treskon)

(thus ‘SoHo’) to Canal Street, between Sixth Avenue on the West and Lafayette Street on the East. This aligns with the boundaries commonly used in real estate advertisements, store names, as well as scholarly books written about the area (e.g. Zukin, 1982).¹¹ Although other firms issue data for SoHo, their neighborhood boundaries take in a much larger area and are thus inappropriate for our purposes.¹²

Figure 1 shows our SoHo boundaries as well as those for Chelsea and also the location of the West Village (which lies between them). In the case of Chelsea, the standard sources’ area definition varied too much from the gallery district — as indicated by gallery locations as well as defined by the city in its official designation of ‘West Chelsea Arts District’.¹³ Our boundaries correspond to the official ones: the area West of 10th

11 Cushman and Wakefield extends the border of its ‘SoHo’ East to the East River, a move that includes a lot of geographic space, but very few office buildings that reach the size threshold needed for entering the Cushman and Wakefield database. As the firm reports, ‘virtually all’ of SoHo’s office space is located in the western portion of the district along or near Broadway that does correspond to our boundaries. The database includes virtually no properties East of Lafayette Street (and hence outside our SoHo zone).

12 For example, Newmark Frank Knight includes the Washington Square neighborhood (up to 8th Street), which comprises much of legendary Greenwich Village. Both Grubb and Ellis and C.B. Richard Ellis include a corridor along Broadway extending up to 14th Street, thus also taking in areas that very few residents or outside observers consider as SoHo. Indeed, these real estate firms do not use such extensive boundaries when advertising properties as being in SoHo.

13 Some informal usage encompasses the area West to the Hudson River and East to Ninth Avenue, sometimes as far to the East as Sixth Avenue.

Avenue from 30th Street in the North to 16th Street in the South as depicted in Figure 1. Cushman and Wakefield's figures refer to a geographic area going well beyond the gallery neighborhood, including within its boundaries blocks more closely resembling, in uses and physical configuration, the adjacent office and commercial 'Flatiron' district that lies just South of Times Square and Midtown.

To obtain rents for the area that actually houses the galleries, we had to construct our own data set. We did so by collecting all available reports of lease transactions, real estate listings and market overviews at the relevant time points, drawing on all local business media and available real estate reports (see Appendix for full citations).¹⁴ We found that numbers were presented in one of two ways: as a specific lease figure for a particular unit or as a pricing range in the context of a submarket overview or 'round-up' of rental deals in a given area. When we had multiple reports for the same year, we used a simple average, although as we show with the raw data reported in our Appendix, the numbers are never very far apart. Overall, we found 19 sources that provided at least one report for each time point, yielding a total of 25 listings.¹⁵ Besides already existing galleries, these data correspond to commercial spaces that could be in retail, warehouse, office or manufacture use at the time of transaction; or they may be empty with a history of some combination of these uses.

As a further check, we followed up our data search with interviews at two of the city's most important commercial brokers, speaking with the head of research at one company and a partner at the other. We were assured that the sources we were using were the ones they themselves used to determine market conditions. We learned there are good reasons for brokers not to misreport to financial media. In many cases, multiple brokers, lawyers and accountants are involved in addition to building owners; a misreport is thus visible to a number of insiders. In addition, brokers do not want to provide their other clients or prospects with inappropriate expectations, either high or low. This would encourage owners to expect unreasonably high returns for their own buildings or renters to expect unrealistically low lease prices. Either way, transactions would be thwarted and it is transactions, per se (not gaining marginally higher prices for property), that allow agents to make money (Levitt and Dubner, 2005; Levitt and Syverson, 2005). Based on these considerations, we concluded that the data were sufficiently robust for our purposes — we are not, as will be seen, engaging in subtle statistical manipulations.

We also assume a general correlation between rent prices, which we measure, and gallery-space purchase prices, which we do not measure. Our informants assured us that sales price follows rent return, something of a truism in the real estate industry. We did not have much choice. Assembling sales prices for submarkets out of recorded sales would not yield meaningful data. Reports of building sales often do not contain the kind of specifics needed to compare properties with one another (or over time). For example, the seller may be providing a low-cost mortgage. Some buildings carry lucrative air rights, while others do not. Some buildings are deteriorated (never used for any purpose other than storage) and headed for teardown. Some of these variations likely correlate with neighborhood (Chelsea has more 'rough' spaces; SoHo's air rights have been more valuable). In addition, our Chelsea neighborhood is too small to have many sales, especially in some years. Indeed, whether in Chelsea or SoHo, the great majority of gallerists were (and are) renters, not owners.¹⁶

14 These media were *Bloomberg News*, *Crain's New York Business*, *Real Estate Weekly*, *The New York Observer*, *The New York Post*, *The New York Real Estate Journal*, *The New York Times*, *The Real Deal*, *Real Estate Newsletter*, *Women's Wear Daily* and reports from Sinvin Realty, a real estate firm that makes its leasing transactions publicly available.

15 As with SoHo, we excluded residential offerings, very rare in Chelsea, in any event.

16 A 2005 survey of gallerists, resulting in the *New York Arts as an Industry* report (Scanlon, 2005; also see footnote 8), included a question asking gallery owners whether they rented or owned. Although these figures were not included in the publication itself, they were collected. Of the 83 respondents in New York City, 12 owned, while 71 rented. Twenty-one of 22 respondents in Chelsea rented; 3 of 4 respondents from SoHo rented (personal communication, 4 September 2008).

Findings

Gallery numbers

New York’s galleries, as shown in Figure 2, overwhelmingly concentrate in SoHo and Chelsea (and as we define them), with a third locus in Midtown (East 57th Street through the East 80s). Midtown has been a stable area of art sales for several generations and is not part of this study of transition. Unlike the other two gallery districts, it does not specialize in contemporary work, instead selling art of prior centuries, including ancient materials and masterworks. Because of this, it has the richest dollar volume of any New York gallery area, ahead of SoHo and Chelsea (Scanlon, 2005: Appendix D2), but with little connection to the city’s more avant-garde gallery scene.

Thus, omitting Midtown, Table 1 shows the numbers of galleries over the time period 1990–2007. We included the West Village in this step of our analysis because it lies between Chelsea and SoHo and could conceivably have been part of the gallery movement dynamic. But because the West Village, as it turns out, has had comparatively few galleries, we remove it from further consideration. More significant for our purposes, the table shows the timing and extent of SoHo’s eclipse by Chelsea.

To see the change over time in map form, Figure 3 depicts gallery locations in 1995 and 2007, respectively, for the three adjacent areas. By the year 1995, SoHo — 286



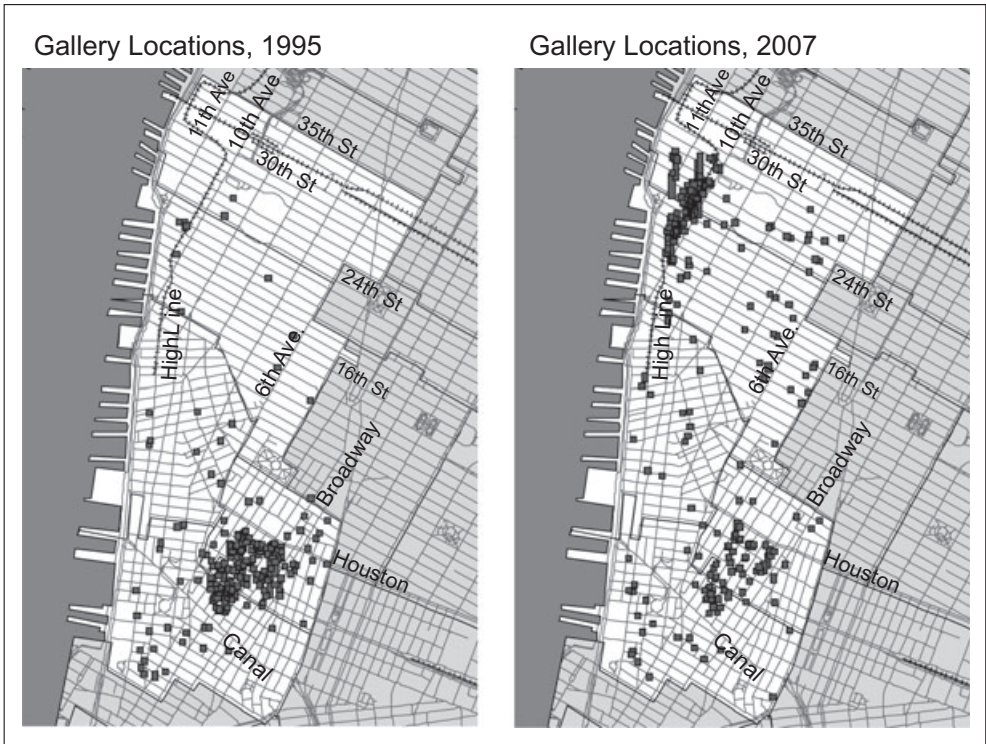
Note: size of bar represents number of galleries at single address

Figure 2 Galleries in New York City, 2007 (source: map created by Mark Treskon based on data from Art in America, 2007)

Table 1 Number of galleries by neighborhood

	1990	1995	2000	2005	2007
Chelsea	16	12	144	257	303
SoHo	275	286	192	133	104
West Village	5	10	23	17	18
Totals	296	308	359	407	425

Source: Art in America (1990; 1995; 2000; 2005; 2007)



Note: size of bar represents number of galleries at given address

Figure 3 Gallery locations, 1995 and 2007: SoHo, Chelsea and West Village (source: map created by Mark Treskon based on data from Art in America, 1995; 2007)

galleries-strong — was the fulcrum of the commercial New York contemporary art world. There were only a few galleries in Chelsea at the time and their numbers had actually declined between 1990 and 1995. But by the mid-1990s (evident in the table only starting in 2000), change was underway. Dia Foundation was the leader, having opened a four-story Chelsea exhibition space in 1987. With its big spaces and ground-breaking (sometimes *literally*) exhibits, commercial gallerists took admiring note. In a move remarked upon by the *The New York Times* art critic as well as other media observers (Smith, 1996), Mathew Marks explained his relocation to Chelsea: ‘I kind of wandered around in SoHo. I basically thought, well, what space do I really like? And I really like Dia. I thought Dia has really beautiful spaces’ (Art Club 2000, 1996, quoted in Sling Shot Project, 2001). Dia’s architect, Richard Gluckman, went on to renovate

spaces for other important Chelsea galleries, including Paula Cooper, Mary Boone and Larry Gagosian.¹⁷

By 2000, the number of Chelsea galleries had exploded to 144 from the 12 in 1995, with SoHo dropping from 286 to 192. The trend continued, with Chelsea increasing to 257 galleries in 2005 and 303 by 2007, and SoHo dropping from 133 to 104 during that period.¹⁸ Thus, by 2007, there were as many galleries in Chelsea as there had been in SoHo during its high point.

Not only are there a lot of galleries in Chelsea, but also there are a lot of visitors. These are the 'city users', not necessarily residents or commuters, whom Martinotti (1999) portrays as playing an increasing role in transforming urban places. In 2005, Chelsea had 64% of all arts visitors to New York City, compared to 27% for Midtown, only 2% for SoHo, and the remainder scattered across the five boroughs (Scanlon, 2005: Appendix D2).

Affordability ratios

Consistent with the general understandings of gentrification scholars, rent prices increased dramatically in the two neighborhoods over our study period. But so did art prices. These price rises did not happen in a continuous or parallel way — and in that fact lies a critical aspect of the process. SoHo's rents shot up beginning in the 1980s *but then fell significantly* during the last few years of that decade — a pattern well noted in the real estate press (e.g. McCain, 1988; Grant, 1990). By the early 1990s (coincident with a general pick-up in the New York economy), rents were rising again, reaching prior highs by 1995. But this was also the period when the art market collapsed; the value of average sales fell by almost two-thirds between 1990 and 1995. So 1995 marks a crisis point in SoHo space affordability and hence an impetus for galleries to exit.

Particularly for ground-floor spaces (always going for at least a bit more than the upper floors in SoHo), rents climbed again. The rate had risen to \$129 per square foot by year 2000 for spaces at ground-floor level and then almost doubled in the next 5 years — to \$224 by 2005.¹⁹ But another doubling took place after 2005 with rents reaching \$501 in 2007. However, even with these huge rent increases, the still more rapid rise in the price of art made these spaces in SoHo more affordable in 2007 than they had been in 1995 — at least based on art inflation as measured by average (as opposed to median) prices.

Chelsea rent figures run somewhat in parallel to SoHo's, but at much reduced prices. Early rents (1995) were at \$12 per square foot and never went above \$81. So at least in terms of ground-floor spaces, Chelsea appears a consistent bargain.

We represent the SoHo–Chelsea ground-floor comparisons in Table 2. Here we also show art price and, in the right half of the table, the ratio of rent price to art price — our affordability index. This is the critical statistic to observe. The higher the number shown in the right-hand cells of the table, the easier it would be for a gallery to survive.

Again sticking to ground-floor rents, Figure 4 plots art market price and per square foot rent levels. Instructive to some degree, this table and graph — because they are restricted to ground-floor data — do not tell the full story. Although the first galleries

17 These galleries' importance is attested by widespread coverage given to their moves and their exhibitions. Paula Cooper has nine entries in the Kostelanetz (2003) SoHo volume; Boone has two. On Google search, 'Larry Gagosian' yields over 30,000 results.

18 The website <http://chelseaartgalleries.com/> lists a somewhat higher total — 328 for Chelsea as of August 2007 — than does the Art in America annual guide. Relying on yet another source, the *Art Now Gallery Guide* estimates the 2007 Chelsea total at 320 and the SoHo total at 50 (Halle and Tiso, 2007). The 2008 Art in America guide shows 298 galleries in Chelsea (a drop of five from the previous year), 104 in SoHo and 16 in the West Village.

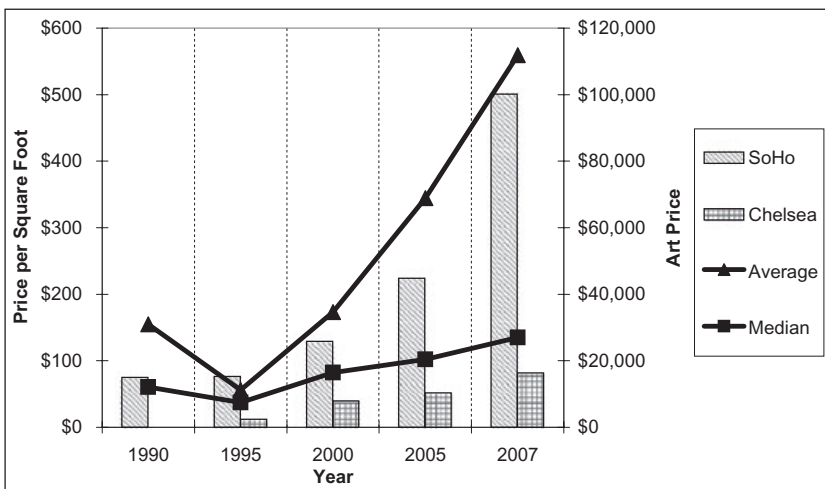
19 These figures obscure a price drop in Spring 2002 when rents declined to \$125 per square foot.

Table 2 Rents and art sales prices, SoHo and Chelsea at the ground floor (1990-2007)

Year	Prices				Ratios			
	SoHo Rent (\$)	Chelsea Rent (\$)	Average Art Sale (\$)	Median Art Sale (\$)	SoHo Ratio (average)	SoHo Ratio (median)	Chelsea Ratio (average)	Chelsea Ratio (median)
1990	75	N/A	30,944	12,100	4.1	1.6	N/A	N/A
1995	77	12	11,259	7,475	1.5	1.0	9.4	6.2
2000	129	40	34,621	16,450	2.7	1.3	8.8	4.2
2005	224	52	68,900	20,400	3.1	0.9	13.3	3.9
2007	501	82	111,903	27,000	2.2	0.5	13.7	3.3

N/A = No data available

Source: see Appendix

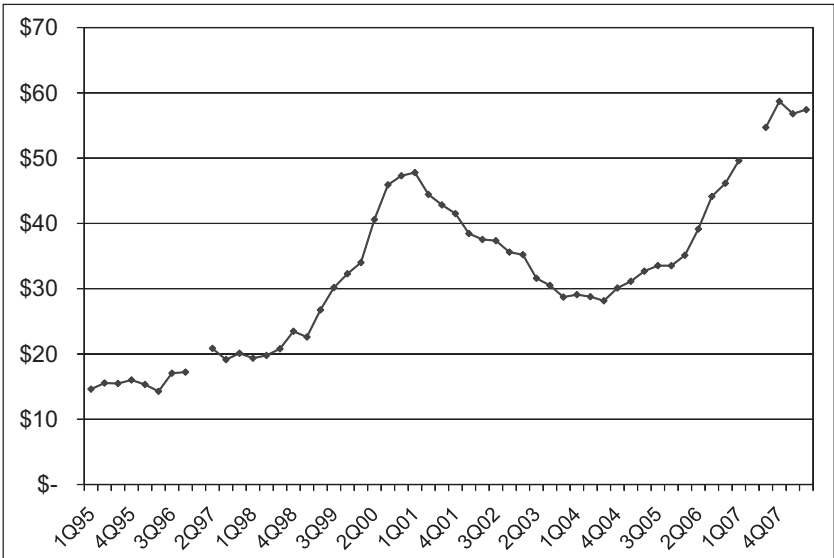


Note: no 1990 data available for Chelsea

Figure 4 Contemporary art market prices and ground-floor rents: SoHo and West Chelsea, 1990-2007 (source: art sales – auction reports 1990-2007 [Artprice, 2007]; rents – see Appendix)

to move to Chelsea were able to move into ground-floor spaces, suitable buildings quickly became difficult to find, necessitating galleries to look for other types of Chelsea spaces. The only way to accommodate the more than 300 galleries that eventually moved in would be to have the large majority locate above ground. When looking at these above-ground floor spaces, Chelsea's affordability advantage greatly declines. In the difference between ground and upper floors, SoHo is a tale of two neighborhoods in a way that Chelsea is not. The engine of SoHo's late 1990s steep rent rise was the in-migration of chain store (heavily luxury) retailing. But retail works well only at the ground level. As noted above, retail rental rates in SoHo averaged \$501 per square foot in 2007,²⁰ while office space in the area (our proxy for above-ground floor rents) averaged \$57 per square foot (see Appendix). As Figure 5 shows, while office

20 Recent data indicate a decline in SoHo retail rents; the Spring 2008 report showed average rent of \$424 — hence an improvement in affordability.



Note: first quarter 1997 and second quarter 2007 figures missing
Figure 5 Rents for office space in SoHo, first quarter 1995 through to second quarter 2008 (source: Cushman and Wakefield historical office rent tables, quarter 1, 1995 through to quarter 2, 2008)

Table 3 Rents and art sales prices, SoHo and Chelsea above-ground floor space (1995–2007)

Year	Prices				Ratios			
	SoHo Rent (\$)	Chelsea Rent (\$)	Average Art Sale (\$)	Median Art Sale (\$)	SoHo Ratio (average)	SoHo Ratio (median)	Chelsea Ratio (average)	Chelsea Ratio (median)
1995	16	7	11,259	7,475	7.0	4.7	15.4	10.2
2000	47	27	34,621	16,450	7.3	3.5	12.8	6.1
2005	34	36	68,900	20,400	20.5	6.1	18.9	5.6
2007	57	46	111,903	27,000	19.5	4.7	24.3	5.9

Source: see Appendix

rents in SoHo quickly escalated in the late 1990s, peaking at \$47.80 in the first quarter of 2001, they then dropped significantly and did not reach that 2001 peak until the first quarter of 2007 (at \$49.63).

This means, as revealed in Table 3 and Figure 6, that ground-floor rents in SoHo were ten times more expensive than upper-floor rents. In 2000, they had only been four times as expensive.²¹

In Chelsea, where retail usage is consistently minimal, ground floors still go for more than upper floors, but only about twice as much. This seems a clear pattern across all

21 Figures for 2000 were \$129 for retail according to REBNY and \$34.02 for office space according to Cushman and Wakefield.

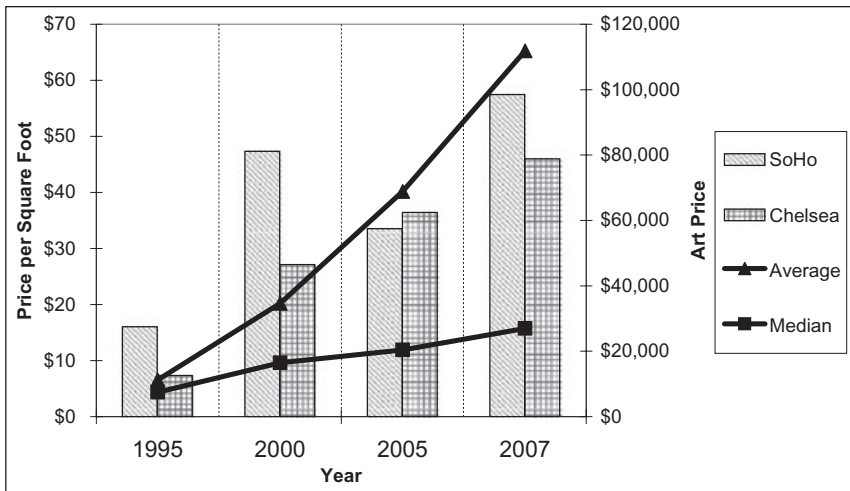


Figure 6 Contemporary art market prices and above-ground-floor rents: SoHo and West Chelsea, 1995–2007 (source: art sales – auction reports 1995–2007 [Artprice, 2007]; rents – see Appendix)

years.²² It also means that, in 2007, SoHo above-ground spaces rented for approximately 1.2 times that of similar spaces in Chelsea (\$57 versus \$46, respectively) — a considerably closer margin than in 1995, when the margin was 2.3 times (\$16 versus \$7, respectively). Factoring in the increasing prices of art by using affordability ratios, the 2007 SoHo ratio of 19.5 (using average art sale prices) is nearly three times more favorable than it was in 1995 (7.0) and even higher than the Chelsea ratio of 1995 (15.4) — which is when the galleries started coming in. Figure 6 depicts this SoHo–Chelsea comparison for above-ground rental markets.

For SoHo, the rising value of art in the context of rents that did not rise as much means that SoHo upper-floor space became *more affordable* between the start and end points of the 17-year period, 1990–2007. In 2007, ground-floor spaces in SoHo were still more affordable than they had been at the 1995 squeeze point, using average art prices to construct the affordability ratio (although they were less affordable using median art prices). These figures raise the possibility that if the galleries had been able to hang on during the brief period of least affordability, they might have survived in the end with a SoHo address — especially at an above-ground SoHo address. SoHo might have transitioned toward a Midtown Manhattan model, with retail below and art, along with other functions, on the floors above.

But holding on may have been asking too much of businesses which are small in scale, have difficulty raising investment funds from conventional sources, and usually lack deep pockets. It also asks that they forgo the financial benefits, in absolute terms, of the move to Chelsea. But these figures do show that for the large majority of Chelsea galleries — because they exist on upper floors — there is no longer much of a cost benefit being in Chelsea, at least compared to comparable space in SoHo to which they do not return. Never mind how much more affordable it would be for them to move en masse to, say, Brooklyn, or disperse altogether.

That they did not move back or resettle in a new area implies that arts districts might indeed have the kind of durability associated with other types of business districts (e.g. the financial district, the garment district, port district). Although none of these can be

22 Although the numbers presented here are at 5-year intervals, we recorded rent data, when available, for every year across the time span of the study from 1990 forward.

assumed to have true permanence, they do not cycle in and out of their dominant uses within less than a single generation as was true of SoHo. While perhaps not under financially optimal circumstances, the galleries can afford to sell art in Chelsea.

Contingencies

But the Chelsea conditions are, like we presume with analogous districts, subject to change with alterations in surrounding market contexts. Here we outline some types of contingencies in play.

The contingent scene

SoHo was a full-on art scene if there ever was one (Simpson, 1981; Zukin, 1982; Kostelanetz, 2003). An estimated 5,000 artists, in one accounting,²³ lived in the aesthetic 'hot house' that came to be. But even with all the reinforcing mechanisms in place, things unwound: first, with the exit of the artists and, then, with the affordability squeeze, many of the galleries. The drop in contemporary art prices in the early 1990s, followed by the rapid increase of SoHo rental rates in the latter half of the decade, combined to shock the SoHo system, disrupting the stickiness the scene could deliver. Subsequent trends making SoHo more affordable relative to Chelsea could not reverse the out flow, which had itself become self-reinforcing. Gallery owners could exploit the Chelsea rents that were more affordable.²⁴ SoHo 'could have' reaped the benefit of art price escalation, but the new scene was too far along.

In SoHo, with the ground floor given over to international fashion stores, the upper-floor galleries have lost the 'anchor tenants' of major art players. Even though it is nearly as affordable as analogous space in Chelsea, SoHo upper-floor space has a multiple negative. The art is gone from below and, just as crucially, while it may still be a neighborhood with some galleries, it is no longer a gallery neighborhood. SoHo gallery owner Ronald Feldman, while stressing the continued viability of SoHo as a gallery district (back in 1996), acknowledged at the time that 'if one night all the galleries in SoHo moved out in unison and just disappeared, most of the people who come to SoHo now would not even know they had gone' (Wallach, 1996). Perhaps just as important as not being art buyers, SoHo's city-user pedestrians may decreasingly be into the art at all — even more damaging. Besides not buying, 'the tourists go into the galleries (and) laugh at the art', said an observer of the more recent SoHo situation (Holusha, 1997). Having the right kind of people around builds artists' and galleries' reputations. If the crowds are scene-unsuitable, they are a pollutant; this appears to be more generally applicable to spaces of the creative economy (Thornton, 1996; Grazian, 2003). Part of the continuing Chelsea advantage remains the absence of retail to challenge its scene.

The initial jump to Chelsea from SoHo demonstrated that 'it could be done'. It was what might be termed a spatial 'performative' — a display of a new urban ensemble available for emulation (Dimaggio and Powell, 1983). That the galleries making the first move were among the most significant in the city was likely important, bringing attention to the neighborhood from the other relevant art world players like critics, artists and

23 This is the figure quoted, in a booster spirit, by Kostelanetz (2003) from a 1978 guidebook to the district.

24 This 'rationalization' of land use parallels the more serious insult to New York's property uses brought by the attacks on the World Trade Center. Whereas it was evident that financial institutions could save money (as well as enhance security) by moving back-office functions out of downtown, the attacks forced the issue. Some firms that relocated in the immediacy of the destruction just did not return or permanently moved space-intensive operations to less expensive parts of the city or beyond — something that was already a trend, but which events accelerated.

media (see Becker, 1984). The upper-floor tenants, so large in number, gain from the notoriety as well as from the art-seeking footfall of the majors downstairs (and, in relative terms, pay for it). Chelsea becomes a happening place.

Caution is in order. Some observers had been unduly confident about SoHo in its heyday — and well after. Noting there were still more than 200 galleries in SoHo at the time (1997), *The New York Times* art critic Roberta Smith explained that ‘SoHo is still the place to grasp the New York art scene in all its many, sometimes frightening permutations, which coexist there with a density and range that relatively high-end Chelsea, or any other part of Manhattan, will probably never match’ (Smith, 1997). More prescient had been artist Ellsworth Kelly, who commented at the 1994 opening of his Chelsea show at the newly opened Matthew Marks gallery, ‘art always moves on’ (Dunlap, 1994). Indeed, not uncommon in the creative sectors, fixed investments are low. Even the walls are temporary, ready for dismantling to suit a next installation. It is relatively easy for gallerists to walk out the door and take their stuff with them.

And they may not even need a scene at all; it is only one way to display and sell art. Other world cities, like London and Tokyo, lack arts districts in the New York sense but sell a lot of art. Their galleries are more dispersed (see also Kim, 2007). In Midtown, New York has its own case in point. The area’s topology of banks, corporate towers and global organizations swamp its galleries; art visitors are not a palpable presence. True, it is a more conservative art, a type that may — on those grounds — be less dependent on the type of things and scene associated with New York’s world-influential downtown art movements.

The contingent artifact

At the outset of the move to Chelsea, art was getting (literally) bigger, including large-scale and complex installation projects. Indeed, having the right kind of venue helped bring this art into being, just as the art brought into being the venue (see Kostelanetz, 2003). Although SoHo participated as well in this dynamic and in ways that Midtown could not, Chelsea was superior still. Chelsea buildings had not been showrooms (as was more frequent in SoHo), but taxi and auto repair garages, glass distributors, garment manufacturers and mechanical shops. They frequently had garage-door fronts or facades with full street truck-access. Chelsea spaces also had clear-through floors devoid of interior columns. Just as the tight spaces of the East Village (once emerging as an arts scene) never could really compete, SoHo lost its special edge. And the relatively small scale of some Chelsea buildings, relative to the five- or six-story cast-iron structures in SoHo, made it easier for gallery operators to buy their own space — at least at first. A 1997 *New York Times* article tracing the rapidly increasing sales prices of Chelsea buildings quotes a broker who states that as of 1995, single-story buildings in Chelsea were selling for between \$50 and \$75 a square foot, making it cheaper at that time to *buy* in Chelsea than to rent ground-floor space for a year in SoHo (at \$77 in 1995). The sales prices very quickly escalated and by the time of the cited article, single-story buildings were selling for \$150–\$200 a square foot (Holusha, 1997). Chelsea’s physical plant of stand-alone structures helped the transition begin and, as critical mass took place, other types of found buildings (some large) were adapted to the art purpose and subdivided for renters or buyers. Figure 7 shows a contemporary example of low-density Chelsea gallery space.

It is telling that it has now become profitable to purpose-build a high-rise of gallery condos in Chelsea. The ‘Chelsea Arts Tower’ sold gallery spaces on the lower eight floors and realtor-designated ‘creative-industry’ offices above. Despite the rarity of commercial condominium buildings in New York, the building has been a success, with the last space sold in September of 2007 (*Real Estate Weekly*, 2007). Building specifically for gallery use signifies a very robust, perhaps unprecedented, gallery business in place (see Figure 8).



Figure 7 Chelsea Gallery (photo by Harvey Molotch)



Figure 8 Chelsea Arts Tower (photo by Mark Treskon)



Figure 9 High Line Vision (source: Friends of the High Line. Design by Field Operations and Diller Scofidio + Renfro. Courtesy of the City of New York)

In facing the retail threat, Chelsea has the advantage of relatively bad public transit — again in contrast to SoHo that is extremely well served.²⁵ Retail consumers pick things up in the course of other activities, versus art buyers for whom art is the destination. Shopping bags exert a special penalty for those with a long walk to the subway station (in New York, even the affluent, as led by a billionaire mayor, use the subway). Future change in access is unlikely.²⁶

Government intervention

City government has become a player in the effort to preserve Chelsea as an arts district. In designating the ‘Special West Chelsea District’, the city makes explicit its goal ‘to encourage and support the growth of arts-related uses’²⁷ in the area. Art galleries have been made an ‘as-of-right’ use in what had previously been a manufacturing-only zone. Further, the city is investing in the ‘High Line’, an abandoned elevated railroad spur being turned into a unique aerial parkway by the world-class firm Diller Scofidio + Renfro (Figure 9). The Whitney Museum is building a major branch at its terminus. The High Line and its associated architecture and fittings²⁸ could reinforce Chelsea as a destination urban day-resort — a kind of festival space for the high cultural capital set.

25 Many subway lines serve SoHo (1, 2, 9, A, C, E, N, R, W, Q, F, V, 6) but only one runs near the Chelsea gallery district and none run through it.

26 A proposed extension of the Number 7 subway line, if realized, would touch the northern edge of the district.

27 The West Chelsea Special District was formally adopted by City Council on 23 June 2005 (New York City Department of City Planning, 2009). Additionally, the New York Landmarks Preservation Commission designated part of the neighborhood as a historic district in July 2008 (Chan, 2008). A 1999 rezoning of 23rd Street between Tenth and Eleventh Avenues to encourage residential and mixed uses points to an earlier attempt to remake the neighborhood before the 2005 rezoning codified protections for galleries (Garbarine, 2004). See also New York City Department of City Planning (2007).

28 The city requires glass frontages of a certain sort within portions of the special district to facilitate art galleries. It forbids security gates that cover up glass facades and storefronts. It also prohibits exterior chain-link fence — ironic given its frequent use in the kind of industrial district that Chelsea and its art otherwise celebrate.

If arts-oriented people (as opposed to the simply rich) dominate the flows, retail, otherwise so inclined to follow the money, may indeed be restrained.

The problematic record of regulating for art does not inspire complete confidence.²⁹ SoHo, after all, had originally developed as an arts district *despite* city policy, not because of it. Zoning was for light manufacturing and wholesaling, not art. When industries closed down or dispersed out of Manhattan, buildings were made near worthless (Kostelanetz, 2003). A 1959 plan to replace much of the neighborhood with a cross-town expressway further inhibited investment (Simpson, 1981; Halle and Tiso, 2007). This depressed market gave artists an opportunity to live and work in the vacated spaces — illegally in fact. And they were harassed by the city. Likewise, although residential artists never were a part of Chelsea's transformation, its industrial and showroom zoning had previously limited land uses to industrial, not residential or retail.

Pro-artist and pro-gallery regulation came about in SoHo through political pressure from the artists themselves and allies sensing, for whatever reason, that arts were a good thing. City rules made it possible for officially certified artists to live in the area. To keep retail at bay, zoning regulations passed in 1980 (and still in effect in 2008) state that ground-floor spaces of larger than 3,600 square feet must be limited to manufacturing, and can *only* be converted into retail by special exemption. As events were to unfold, the definition of 'artist' became increasingly vague (Barbanel, 2003) and limits on retail came to amount to little (Deutsch, 1994). Today, the city regularly grants retail exemptions based on the very fact that so much existing ground-floor space has already shifted to retail use.³⁰ In both Chelsea and SoHo, the rise of the art was only an inadvertent consequence of policy and the SoHo precedent is that laws are of little long-term benefit (Simpson, 1981; Zukin, 1982; Kostelanetz, 2003).

Conclusion and further speculations

The revalorization of a commodity changes what can happen in space. So Chelsea's future depends, at least in part — as does probably any commercial district — on the value of commercial products associated with it. Any 'rent-gap' (Smith, 1987) or marginal utility notion has to go beyond the real estate itself to parallel changes in the value of the commodity in question. In terms of at least some aspects of creative industries, there is an ephemerality marking them off from prior industrial forms. Although art price has roughly tracked over the last 50 years with the stock market in terms of overall investment return (Watson, 1992; Goetzmann, 1993), it has its own specific dynamic that, as we have shown, can have distinct consequence on the ground.

Part of this dynamic in regard to gallery districts is taste change for *kinds of art*. SoHo and then Chelsea benefited, at the expense of Midtown, by the disproportionate favoring of big-scale and complex assemblages. The industrial chic of the neighborhood complemented the avant-garde quality of the goods on sale. Dia served as an inspiration for what art could be, and, in what is something of the same thing, in how it could be displayed. The art and the neighborhood did not just arise together in the sense of coincident timing but were intrinsic to one another's existence. Big space gave rise to big art just as big art 'demanded' big space. The recent advent of video art (often part of large installations) now means the artists can work off-site and in small quarters, with a big space needed only for public display.³¹ Similarly, artists often realize installation projects *only* in galleries; they do not exist before their first public exhibition (Wharton and Molotch, forthcoming; see also Becker *et al.*, 2006). This further illustrates how a

29 For a skeptical account of the general prospect, see Pratt (2005).

30 See City Planning Commission (12 March 2007) C 060492 ZSM, for an example of such a granted exemption.

31 We thank Michael Guggenheim for making this point to us.



Figure 10 Lee Mingwei, 'Gernika in Sand' (source: photo by Anita Kan, courtesy of Lombard Freid Projects, New York and Albion Gallery, London. Collection of Yeh Rong Jai Culture & Art Foundation, Taiwan. URL <http://picasaweb.google.com/leemingwei3/GerikaInSandImagesByAnitaKan#5085317922002127250> (accessed 29 March 2009)

particular form of art works with a type of urban space, in this case showing how an arts district like Chelsea can indeed exist without artists living within its borders. Put another way, you can have a bohemian product (as an avant-garde artwork might be seen to, *ipso facto*, be) in a non-bohemian neighborhood. Art joins the rest of the industrial apparatus as still another realm where the act of production becomes separate from the space of display and consumption.

Part of the art 'display' is not just the artifact but also the people doing the viewing whose presence is sometimes even schemed as directly intrinsic. People's movements through an installation, including sounds of their footfalls, small talk, or the collective heat of their bodies bring the project alive — as in the works, for example, of installation pioneer John Cage or the more recent innovators like Lee Mingwei (who has people walk through sand; see Figure 10) and Felix Gonzales-Torres (who heaps candy on the floor for visitors to eat on the spot). This represents an escalation in the meaning of 'scene'. Almost any kind of retail thrives on social buzz, including ancient market places and the modern department store (Leach, 1993; Rappaport, 2000). Shopping has probably always been a process of 'collective selection', as social-interactionist Herbert Blumer (1969) called it. Unsurprisingly, a gallery district can gain through the interactions among its visitors, at least as much as visitors interact with the goods on sale.

As was observed of the SoHo scene in its prime, only a small proportion of art sales, especially at the higher end, come from this art flaneurie whose members go in and gather up (Kostelanetz, 2003); the real buyers come by advance appointment. But the casual visitors are backdrop, participants and the *social* base of the industry. In this kind of system, the need to be in *the* happening spot helps foster a 'winner take all' land market, a kind of celebrity space analogous to the way a very few entertainers command vast salaries at the top of their occupational structure (see Frank and Cook, 1996). If you want to be with contemporary art in a hip social setting, Chelsea becomes the necessary — and reliable — place to go. This gives rise to a tight 'economy of sites'.³² It is the geographic equivalent of a game theory 'saddle-point' (Rapoport, 1960). The material sediments provide the basis, or perhaps more cynically, the excuse, for the gatherings.

32 One of the authors believes he saw this term in the literature, but has not been able to recall or locate the author to whom he here apologizes.

Once formed, the assemblage becomes at least somewhat durable, in the Latourian sense (see, e.g., Latour, 2005). Only when forced by a temporary economic squeeze and induced by the exit of several of its leading galleries, did SoHo start to break apart. Galleries did not then return once the price advantage of Chelsea dramatically declined. In a classic collective action predicament (Olson, 1968), the gains of moving back can be realized only if a critical mass moves together. As was observed generations ago in regard to neighborhood racial tipping points (Taeuber and Taeuber, 1965), a pattern of usage builds on its own momentum and then, at a certain stage, tends toward lock-in. This works in terms of commercial locational decisions, not just individuals acting on cultural prejudice (see also Arthur, 1988). Place stability, such as it is, happens through the twin dynamics of good economic reasons to move — like the bad SoHo affordability ratios of 1995 — and the need to remain for fear that others will not follow. The Chelsea scene has itself been sticky enough (see Markusen, 1996) to have — at least as of 2008 — overcome continuing economic (high rent) and symbolic (no artists) challenges, as well as the appeal from more ‘with-it’ districts evolving elsewhere in the city, like a number of neighborhoods in Brooklyn and Queens (Williamsburg, DUMBO and Long Island City).

We can recapitulate the flow of what has happened. Rent increases can indeed, as the classic literature indicates, dislodge. In terms of a destination, a prominent leader (Dia in this case) can help point others toward a specific new place (which must, of course, have the other locational advantages present as well). A tendency for ‘scene dependence’, common in the arts and culture industries, prompts collective relocation to the new zone. If the price of art (or whatever other commodity being sold) rises sufficiently, the new district can be durable even in the face of property price inflation. But this dependence on the price of the specific product means that a shift in consumption preference can undermine place durability.

And taste will — as it has an intrinsic tendency to do (Liebersohn, 2000) — shift yet again. To sustain Chelsea, not just art prices in general need to remain high, but prices for a particular type. Should art world taste revert to prior artifactual preferences — pictures in a frame — sceneless Midtown could undermine the scene in Chelsea. Still another threat may come from a consumer shift away from homes with walls and spaces large enough for big works, whether in response to recession or some design trend. In New York, the opening of the New Museum on the once forsaken Bowery may be part of a new art scene on the Lower East Side (Boston, 2007; Cotter, 2007), a neighborhood whose small spaces may ‘fit’ with aesthetic enthusiasms now only dimly on the horizon. In a 2008 commentary, *The New York Times* critic Roberta Smith (2008: B7) remarked that ‘small paintings of the abstract kind are having a moment right now in New York’. If the moment was to stretch on, Chelsea might be over.

Even more dramatically, the international economic decline occurring as this article goes to press could, once again, change affordability ratios — this time in ways that destabilize Chelsea. Even if rents go down, art price could go down still farther. The art buyers, perhaps disproportionately made up of Wall Street profiteers³³ (we do not know this), might withdraw, causing collapse of the market for the kind of art they may have held in special favor. If so, in ways we did not anticipate as we did our work, the neighborhood will dissipate.³⁴

Whatever the result, sociality, markets and materiality will mutually determine the outcome. Important will be a certain combination of social factors and the range of economic forces, expanded in our analysis to include not just the cost of property, but also the market value of artifact. The aesthetic currents that bring value to some kinds of materials and displays more than others affect the form of the city and the distribution of

33 We thank Eliot Tretter for raising this possibility with us.

34 For an analysis of linkage between art, installation art in particular and capitalist investment, see Stallabrass (2005).

activities within it. At the same time, the city itself creates the artifact in its specificities. The problem of the durability of an arts district like Chelsea is only one instance of how an array of phenomena assembles (or, for that matter, disassembles) a particular and contingent spatial formation.

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Résumé

Dans le cadre des recherches consacrées aux liens entre économie créative et processus urbains, cet article s'intéresse à la manière dont art et lieu interagissent sur le long terme dans les quartiers new-yorkais de Soho et Chelsea. Plus précisément, il retrace le déclin de Soho en tant que haut-lieu des galeries et l'ascension simultanée du quartier voisin de Chelsea devenu un marché d'art. On ne peut se contenter de l'explication habituelle de cette transition, selon laquelle l'augmentation des loyers a 'expulsé' l'art. Sur un même plan, quoique sur un axe différent, se trouve l'évolution du prix des œuvres – en particulier dans le type d'art auquel ces lieux ont été associés réciproquement –, évolution qui se reflète sur l'occupation des terrains. Ce qui influe également sur le destin de ces quartiers est la plus ou moins grande difficulté à reconstituer les scènes sociales d'un lieu à l'autre. L'article montre comment les spécificités des objets d'art, qu'il s'agisse de leur valeur financière ou de leur forme, se combinent aux marchés immobiliers et à la nature sociale des scènes pour modifier la morphologie urbaine.

Appendix – Sources used for determining rents, SoHo and Chelsea

Table 1 SoHo

Year of Deal	Source	Rent per Square Foot per Year (\$)	Type
1990	Grant (1990)	75	Retail
1995	Cushman and Wakefield: historical office rent tables, quarter 1, 1995 through to quarter 2, 2008	16.03 (Q4)	Above ground
1995	Rothstein (1995)	45-55; 75-85; 100	Retail
2000	Cushman and Wakefield: historical office rent tables, quarter 1, 1995 through to quarter 2, 2008	47.32 (Q4)	Above ground
2000	Real Estate Board of New York (2000-2001)	129	Retail
2005	Cushman and Wakefield: historical office rent tables, quarter 1, 1995 through to quarter 2, 2008	33.54 (Q4)	Above ground
2005	Real Estate Board of New York (2006)	224 (2005 listing)	Retail
2007	Cushman and Wakefield: historical office rent tables, quarter 1, 1995 through to quarter 2, 2008	58.71 (Q4)	Above ground
2007	Real Estate Board of New York (2007)	501	Retail

Table 2 Chelsea

Year of Deal	Source	Rent per Square Foot per Year (\$)	Type
1995	Lambert (1995)	6	Above ground
1995	Brimlow (1996)	9 (1994); 15 (1996) ^a	Retail
1995	Brimlow (1996)	7 (1994); 9 (1996)	Above ground
2000	Bagli (2000)	25; 25-30	Above ground
2000	Bagli (2000)	39	Retail
2000	Dunlap (2000)	24-30	Above ground
2000	Gray (2000)	25.74	Above ground
2000	Weiss (2000)	28	Above ground
2000	Weiss (2000)	40	Retail
2005	Choi (2005)	48	Retail
2005	Elliot (2005)	35-40	Above ground
2005	Holusha (2005a)	32	Above ground
2005	Holusha (2005b)	34	Above ground
2005	Mason (2005)	55	Retail
2005	Radomsky (2005)	52	Retail
2005	Weiss (2005)	30-32; 52	Above ground
2007	Kazakina (2008)	80	Retail
2007	Killeen (2007)	80-85	Retail
2007	Killeen (2007)	35-40	Above ground
2007	New York Real Estate Journal (2007)	38	Above ground
2007	Real Estate Weekly (2007)	65-75	Above ground
2007	Sinvin Realty website listings ^b	35; 45; 35	Above ground
2007	The Real Deal (2007)	40	Above ground

^aThere were no Chelsea figures available for 1995; we thus interpolated 1995 values by averaging from numbers reported for 1994 and 1996

^bWhere ground-floor units do not have direct street access (as happens in a few Chelsea instances), we treated them as above ground

Note: if a given source contains both ground floor/retail and above-ground floor listings, it is listed twice